

FRVO

FRVO N/A

Buy	\$33.91 ▼ 3.99%	12M Price Target \$48.00	52-Week Range \$32.39 – \$42.65	Market Cap \$9.97B
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FRVO: Reiterate Buy; Geothermal Scale-Up Thesis Intact Post-Pullback

WHAT'S CHANGED

- FRVO -3.99% to \$33.91 on 1.37M shares, retracing a four-day rally from \$33.07 → \$35.32 (+6.8%); stock now sits at just 15% of 52-wk range (\$32.39–\$42.65), signaling consolidation near IPO support.
- Sell-side bullish initiations (Investing.com 6/8) and WSJ's 5/25 geothermal IPO halo piece are aging catalysts; absence of fresh filings/insider activity points to today's move as profit-taking, not thesis-breaking.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Execution risk on Cape Station drilling—subsurface variability could push first-power milestones and stress liquidity given negative FCF profile.
- Customer concentration in hyperscaler PPAs; one cancellation or renegotiation could compress forward revenue visibility materially.
- Rate-sensitive long-duration cash flows; any back-up in 10Y yields compresses DCF-based valuations across pre-profitability clean-energy names.

RECENT NEWS

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up

Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com ·

2026-05-18 09:55

Assessing Fervo Energy's Valuation After Early Stage Losses And Recent Share Price Momentum... Simply Wall St. · 2026-05-17 21:14

Two Geothermal Stocks To Watch As Energy Demand Soars Investor's Business Daily ·

2026-05-15 16:45

OPTIONS INTELLIGENCE

Put/Call Ratio	0.87
Call Vol / Put Vol	178 / 154
Flow Signal	NEUTRAL

Neutral flow: P/C ratio 0.87 with no strongly unusual contracts detected. Options positioning is mixed with no clear directional bias.

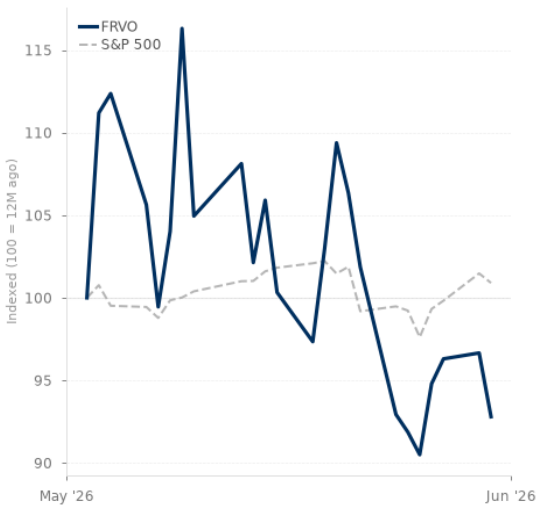
Key Data

Price (USD)	\$33.91
12M Price Target	\$48.00
Upside / (Downside)	+41.6%
Market Cap	\$9.97B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$38.00	\$35.00	\$31.00
6 Months	\$48.00	\$40.00	\$30.00
1 Year	\$60.00	\$48.00	\$28.00
2 Years	\$85.00	\$62.00	\$25.00
5 Years	\$150.00	\$95.00	\$22.00
10 Years	\$280.00	\$160.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Financials (+3.60% 5D), Materials (+3.84% 5D)

COLD SECTORS: Real Estate (+0.29% 5D), Cons. Staples (+1.77% 5D)

ROTATION WATCH: Utilities and Industrials leadership (both +2.4%+ 5D) signals continued capital rotation into power-infrastructure beneficiaries of AI/data-center buildout—directly supportive of FRVO's customer pipeline.

BYPRODUCT PLAY: Secondary beneficiaries include drilling-services exposure (shared technology with shale unconventional), transmission/grid equipment vendors, and specialty steel/alloy suppliers tied to deep-well casing demand.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Independent power producer leading the AI-power trade with multi-year hyperscaler contracts; trades at premium EV/EBITDA reflecting baseload scarcity.
- CEG (Constellation Energy): Nuclear baseload analog benefiting from same 24/7 clean-power thesis; Microsoft PPA precedent validates pricing power FRVO is chasing.

FRVO CONTEXT: FRVO is lagging the broader AI-power complex near-term (sitting at 15% of 52-wk range while VST/CEG hold near highs), reflecting execution-stage discount vs. operating-asset peers. Convergence trade as Cape Station de-risks should narrow the gap.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$32-34 on pullbacks toward 52-wk low

Time Horizon: 12-24 months

Thesis Invalidation: Project delay >6 months at Cape Station or hyperscaler PPA cancellation

Hedging: Pair vs. long XLU or short comparable clean-energy IPO at richer EV/MW